APPRAISAL REPORT

Indigo Student Living | Louisville, KY

Subject Property	Indigo Student Living
Address	929 Commerce Court, Louisville, KY 40196
Property Rights Appraised	Fee Simple
Effective Date of Value	April 22, 2022
Market Value Conclusion	$55,750,000

Submarket Analysis

Median household income within a 3-mile radius of the property is approximately $18,000 and has grown 3.8% annually. Investor demand for Student Housing assets in Louisville remains strong with recent trades at capitalization rates between 6.58% and 6.58%. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Market vacancy for comparable Student Housing product stands at 9.4%, down from 7.4% two years ago. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Louisville Student Housing market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 93.5% with rental rates per bed averaging $823. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

The site contains approximately 36.36 acres and is generally level with frontage along Commerce Court. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

The site contains approximately 16.16 acres and is generally level with frontage along Commerce Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 4 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

Rent growth in the submarket has averaged 7.0% annually over the past 12 years. Median household income within a 2-mile radius of the property is approximately $410,000 and has grown 5.7% annually. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Employment growth is led by healthcare, logistics, education and professional services sectors.

Investor demand for Student Housing assets in Louisville remains strong with recent trades at capitalization rates between 5.86% and 5.86%. Indigo Student Living is located in Louisville, KY, a market that has recorded 6.9% population growth over the last five years. Pre-leasing for the coming academic year stands at 90.2% with rental rates per bed averaging $823. Rent growth in the submarket has averaged 7.8% annually over the past 4 years. Median household income within a 7-mile radius of the property is approximately $62,000 and has grown 6.2% annually. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 39.39 acres and is generally level with frontage along Commerce Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

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Market Overview

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Market vacancy for comparable Student Housing product stands at 3.1%, down from 6.7% two years ago. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Pre-leasing for the coming academic year stands at 90.2% with rental rates per bed averaging $823. The Louisville Student Housing market has experienced absorption of 1500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 3-mile radius of the property is approximately $92,000 and has grown 7.6% annually. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Indigo Student Living is located in Louisville, KY, a market that has recorded 11.5% population growth over the last five years. Investor demand for Student Housing assets in Louisville remains strong with recent trades at capitalization rates between 7.41% and 7.41%.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 18.18 acres and is generally level with frontage along Commerce Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site contains approximately 45.45 acres and is generally level with frontage along Commerce Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Submarket Analysis

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Student Housing product stands at 9.6%, down from 4.2% two years ago. The Louisville Student Housing market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Rent growth in the submarket has averaged 4.2% annually over the past 10 years. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Pre-leasing for the coming academic year stands at 90.1% with rental rates per bed averaging $823. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The Louisville Student Housing market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Site Description

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 2.2 acres and is generally level with frontage along Commerce Court. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 35 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 17.17 acres and is generally level with frontage along Commerce Court. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

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Building Systems

Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 13 stories. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The roof is a 5-year membrane system with an estimated remaining useful life of 12 years.

The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 88.3% with rental rates per bed averaging $823. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 18-year membrane system with an estimated remaining useful life of 5 years. Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 46 stories.

Improvements Description

The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 17 stories.

Pre-leasing for the coming academic year stands at 89.0% with rental rates per bed averaging $823. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 39 stories.

Construction Details

Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 8 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Common area interiors have been refreshed within the last 7 years and are in average to good condition. Pre-leasing for the coming academic year stands at 89.4% with rental rates per bed averaging $823. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Ivy Scholars Hall	Orlando, FL	09/29/2022	632	$46,113,934	$100,906	8.04%	2022
Falcon Scholars Hall	Naperville, IL	06/09/2025	614	$47,188,645	$103,257	6.61%	1995
Calloway Student Living	Tampa, FL	05/05/2026	675	$65,907,217	$144,217	6.86%	2023
Amberly Student Living	Richmond, VA	10/20/2025	386	$62,563,344	$136,900	5.05%	1969
Whitaker Student Living	Charlotte, NC	08/27/2022	336	$27,738,208	$60,696	7.40%	2017
Cobalt Student Living	Memphis, TN	02/21/2022	492	$37,129,751	$81,247	7.53%	2005
Fairmont Scholars Hall	Seattle, WA	10/06/2023	385	$28,421,328	$62,191	7.24%	1976
Lockwood Scholars Hall	Orlando, FL	04/08/2024	542	$54,951,092	$120,243	7.69%	1967
Granite Collegiate Commons	Baltimore, MD	07/24/2023	510	$36,313,736	$79,461	6.25%	2022
Garnet Scholars Hall	Norfolk, VA	08/21/2023	287	$46,926,503	$102,684	7.05%	1990
Quincy Student Living	Albany, NY	10/15/2022	282	$55,795,868	$122,092	7.84%	1978
Birchwood Student Living	Albuquerque, NM	05/31/2023	564	$75,210,138	$164,574	7.00%	1970
Sterling Scholars Hall	Cincinnati, OH	10/28/2024	381	$46,025,425	$100,712	5.15%	2007
Stonebridge Student Living	Seattle, WA	10/06/2022	333	$22,910,431	$50,132	6.87%	2022
Juniper Student Living	Madison, WI	12/13/2024	420	$31,306,198	$68,504	6.71%	1996
Onyx Student Living	Boston, MA	04/17/2025	235	$76,561,347	$167,530	7.70%	1965
Jasper Scholars Hall	Baltimore, MD	02/27/2022	640	$59,553,416	$130,314	6.17%	1995
Falcon Collegiate Commons	Grand Rapids, MI	03/03/2022	338	$38,691,627	$84,664	5.47%	1993
Raven Scholars Hall	Grand Rapids, MI	04/14/2022	580	$61,525,057	$134,628	7.41%	1977
Orchard Scholars Hall	Omaha, NE	06/02/2026	592	$37,736,778	$82,575	7.49%	2014
Zephyr Collegiate Commons	Tampa, FL	07/24/2023	566	$45,609,893	$99,803	6.75%	1988
Marlow Collegiate Commons	Des Moines, IA	02/19/2026	448	$69,023,138	$151,035	7.34%	1969
Everett Scholars Hall	Phoenix, AZ	02/08/2025	642	$51,158,099	$111,943	5.90%	1977
Kingsley Collegiate Common	Memphis, TN	06/15/2022	491	$70,579,483	$154,441	7.96%	2008
Banyan Collegiate Commons	Oklahoma City, OK	10/27/2023	486	$44,746,901	$97,914	7.78%	1971
Sable Student Living	Raleigh, NC	03/27/2026	345	$47,287,388	$103,473	7.18%	1980
Thornton Student Living	Indianapolis, IN	07/27/2026	349	$52,370,680	$114,597	5.81%	1977
Elmhurst Collegiate Common	Seattle, WA	01/23/2026	261	$33,119,809	$72,472	7.24%	1973
Banyan Student Living	San Antonio, TX	04/02/2022	618	$68,112,925	$149,044	8.13%	1973
Driftwood Student Living	St. Louis, MO	09/17/2022	259	$37,190,095	$81,379	5.09%	1971
Raven Collegiate Commons	Raleigh, NC	08/31/2025	265	$74,255,701	$162,485	7.58%	1986
Parkview Collegiate Common	Newark, NJ	12/03/2022	484	$74,650,190	$163,348	8.05%	2000
Quincy Student Living	San Antonio, TX	08/14/2023	272	$70,479,438	$154,222	5.41%	2009
Gatewood Student Living	Detroit, MI	09/17/2024	610	$36,423,929	$79,702	7.47%	2006
Lakeshore Collegiate Commo	Newark, NJ	03/21/2023	632	$31,140,964	$68,142	6.11%	2018
Mesa Scholars Hall	Cleveland, OH	03/01/2024	682	$64,629,641	$141,422	7.98%	1966
Foxglove Scholars Hall	Cleveland, OH	01/08/2023	557	$57,298,060	$125,379	6.01%	1986
Keystone Collegiate Common	Milwaukee, WI	08/30/2026	592	$41,184,944	$90,120	6.50%	2019
Hollis Collegiate Commons	Grand Rapids, MI	12/01/2023	539	$26,880,856	$58,820	6.35%	1987
Hawthorne Student Living	Chicago, IL	02/11/2023	648	$46,498,751	$101,748	7.54%	1989
Lantern Scholars Hall	Minneapolis, MN	07/28/2022	344	$61,884,245	$135,414	5.42%	2003
Glenview Scholars Hall	Cincinnati, OH	04/12/2025	233	$67,527,286	$147,762	7.39%	2000

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Financial Analysis

Effective gross income for the trailing period was $432,000, representing a 12.4% increase over the prior year. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Pre-leasing for the coming academic year stands at 95.8% with rental rates per bed averaging $823.

Pre-leasing for the coming academic year stands at 92.1% with rental rates per bed averaging $823. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Valuation Discussion

Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Operating expenses totaled $332,000 or approximately 42.55 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.73x on a trailing basis against a covenant minimum of 1.20x. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 90.1% with rental rates per bed averaging $823.

The going-in capitalization rate of 6.05% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 95.4% with rental rates per bed averaging $823. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $234,000 or approximately 33.26 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

Pre-leasing for the coming academic year stands at 95.1% with rental rates per bed averaging $823. Operating expenses totaled $290,000 or approximately 39.67 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.57% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Effective gross income for the trailing period was $393,000, representing a 9.4% increase over the prior year. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $282,000 or approximately 45.69 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 7.52% reflects the in-place income and the stabilized occupancy assumption.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Highland Scholars Hall	0.6 mi	2011	Suite	$886.58	86.3%	$500
Hawthorne Scholars Hall	1.7 mi	2011	Suite	$765.25	90.9%	None
Newport Student Living	3.1 mi	2006	Inline	$722.15	94.4%	None
Bluestone Student Living	2.6 mi	2005	Studio	$894.71	97.7%	None
Orchard Collegiate Commons	3.2 mi	1975	Inline	$878.78	96.3%	$500
Banyan Scholars Hall	3.3 mi	1995	Inline	$743.44	86.1%	None
Meridian Collegiate Commons	1.2 mi	1971	Bay	$857.81	97.2%	None
Hollis Scholars Hall	1.9 mi	1971	Inline	$751.60	93.0%	None
Cypress Scholars Hall	1.8 mi	2001	1BR	$816.11	89.3%	$500
Verde Scholars Hall	1.6 mi	2003	Bay	$777.70	95.6%	1 mo. free
Everett Scholars Hall	4.6 mi	1980	Suite	$870.98	90.0%	None
Timberline Collegiate Commons	0.2 mi	1972	Studio	$893.32	97.7%	1 mo. free
Ivy Scholars Hall	1.4 mi	2015	1BR	$944.17	93.0%	1 mo. free
Orchard Scholars Hall	0.9 mi	2018	Bay	$830.34	90.3%	None
Eastlake Student Living	4.6 mi	2000	Studio	$768.57	88.4%	None
Upland Collegiate Commons	2.7 mi	2000	Studio	$956.35	90.8%	$500
Hawthorne Scholars Hall	3.7 mi	1991	Suite	$849.17	92.6%	1 mo. free
Crestline Collegiate Commons	2.1 mi	1973	2BR	$939.35	87.3%	None
Cobalt Collegiate Commons	2.8 mi	1996	Studio	$943.64	95.5%	None
Prairie Student Living	2.0 mi	1978	2BR	$803.56	94.5%	None
Falcon Collegiate Commons	2.2 mi	1987	Studio	$893.22	92.0%	None
Granite Scholars Hall	2.1 mi	2007	Suite	$895.64	90.1%	None
Wexford Scholars Hall	2.0 mi	2012	Inline	$855.65	97.6%	1 mo. free
Saddlebrook Collegiate Commons	1.0 mi	2001	Inline	$906.61	96.6%	1 mo. free
Amberly Collegiate Commons	2.5 mi	2016	Bay	$941.01	91.7%	None
Yarrow Student Living	4.2 mi	1987	1BR	$718.18	88.4%	1 mo. free
Everett Collegiate Commons	1.5 mi	1978	2BR	$785.76	93.9%	None
Ironwood Student Living	1.7 mi	2008	Inline	$801.91	93.1%	None
Garnet Student Living	0.7 mi	2007	Suite	$747.71	95.7%	None
Bluestone Student Living	1.1 mi	1979	2BR	$709.81	92.9%	None
Whitaker Student Living	2.2 mi	2019	2BR	$760.67	90.1%	None
Union Scholars Hall	3.0 mi	2014	Unit	$709.12	87.2%	None
Kestrel Collegiate Commons	1.5 mi	2021	Studio	$745.61	88.5%	$500
Prairie Scholars Hall	4.0 mi	2000	Studio	$754.62	87.8%	None
Oakmont Scholars Hall	2.4 mi	1988	2BR	$827.65	97.3%	None
Riverbend Collegiate Commons	3.6 mi	1988	Inline	$931.35	97.5%	None
Harbor Student Living	2.8 mi	1971	Studio	$841.63	87.1%	None
Northgate Scholars Hall	2.3 mi	2011	Studio	$868.75	87.9%	None
Dover Student Living	0.3 mi	2007	Suite	$895.45	88.9%	None
Thornton Collegiate Commons	1.0 mi	2022	Unit	$970.40	89.0%	None
Everett Collegiate Commons	4.8 mi	2023	Studio	$707.19	92.3%	$500
Jasper Collegiate Commons	2.9 mi	1972	Studio	$967.64	92.3%	$500
Windmill Student Living	4.3 mi	1971	Unit	$709.68	92.7%	1 mo. free

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Submarket Analysis

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Pre-leasing for the coming academic year stands at 93.2% with rental rates per bed averaging $823. Market vacancy for comparable Student Housing product stands at 5.6%, down from 6.4% two years ago.

Employment growth is led by healthcare, logistics, education and professional services sectors. The Louisville Student Housing market has experienced absorption of 200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Pre-leasing for the coming academic year stands at 91.9% with rental rates per bed averaging $823. Rent growth in the submarket has averaged 4.7% annually over the past 8 years.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer.

Demographics and Employment

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Market vacancy for comparable Student Housing product stands at 6.0%, down from 5.4% two years ago.

Employment growth is led by healthcare, logistics, education and professional services sectors. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Investor demand for Student Housing assets in Louisville remains strong with recent trades at capitalization rates between 5.43% and 5.43%. Pre-leasing for the coming academic year stands at 95.0% with rental rates per bed averaging $823. Median household income within a 1-mile radius of the property is approximately $58,000 and has grown 4.1% annually.

Site Description

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 3 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 43.43 acres and is generally level with frontage along Commerce Court.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 33 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Submarket Analysis

Median household income within a 5-mile radius of the property is approximately $446,000 and has grown 8.1% annually. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Employment growth is led by healthcare, logistics, education and professional services sectors. Indigo Student Living is located in Louisville, KY, a market that has recorded 12.0% population growth over the last five years.

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Building Systems

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Pre-leasing for the coming academic year stands at 92.2% with rental rates per bed averaging $823. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Mechanical systems include rooftop package units and central plant equipment of varying age. Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 39 stories. Common area interiors have been refreshed within the last 5 years and are in average to good condition.

The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The roof is a 5-year membrane system with an estimated remaining useful life of 8 years. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Construction Details

The roof is a 33-year membrane system with an estimated remaining useful life of 5 years. Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 43 stories. Pre-leasing for the coming academic year stands at 94.0% with rental rates per bed averaging $823. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Indigo Student Living was originally constructed in 2018 and consists of 457 beds in a building of 35 stories. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Pre-leasing for the coming academic year stands at 96.1% with rental rates per bed averaging $823.

Construction Details

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The roof is a 5-year membrane system with an estimated remaining useful life of 7 years. Common area interiors have been refreshed within the last 10 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 44-year membrane system with an estimated remaining useful life of 3 years. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Maple Collegiate Commons	Hartford, CT	02/24/2024	591	$34,735,213	$76,007	6.79%	1971
Everett Scholars Hall	Portland, OR	10/13/2024	585	$47,885,098	$104,781	5.42%	1993
Birchwood Scholars Hall	Allentown, PA	05/24/2022	669	$42,418,450	$92,819	6.38%	1974
Crestline Scholars Hall	St. Louis, MO	08/11/2025	518	$23,952,968	$52,413	7.25%	2008
Indigo Collegiate Commons	Newark, NJ	02/16/2024	598	$27,440,322	$60,044	7.75%	1966
Crestline Collegiate Commo	Milwaukee, WI	02/26/2026	561	$51,227,738	$112,096	7.81%	1999
Riverbend Scholars Hall	San Antonio, TX	11/04/2023	336	$32,782,640	$71,734	5.06%	1984
Newport Student Living	Houston, TX	12/05/2022	669	$58,516,816	$128,046	8.02%	2021
Bluestone Collegiate Commo	Raleigh, NC	01/01/2022	282	$25,079,550	$54,879	6.69%	1990
Prairie Student Living	Salt Lake City, UT	05/26/2024	482	$48,490,480	$106,106	5.71%	2016
Prairie Student Living	Savannah, GA	03/13/2023	269	$74,517,913	$163,059	5.37%	2018
Amberly Scholars Hall	Minneapolis, MN	05/03/2023	261	$51,552,856	$112,807	6.43%	1976
Gatewood Collegiate Common	Memphis, TN	01/26/2024	245	$73,471,564	$160,769	7.43%	1995
Eastlake Student Living	Orlando, FL	08/18/2025	663	$40,983,288	$89,679	5.54%	2012
Driftwood Student Living	Charlotte, NC	10/14/2025	243	$43,397,943	$94,963	6.23%	2016
Maple Student Living	Riverside, CA	09/21/2022	279	$23,103,451	$50,555	7.19%	1986
Osprey Collegiate Commons	Memphis, TN	06/23/2026	401	$72,114,653	$157,800	6.10%	1975
Ivy Student Living	Cleveland, OH	09/28/2025	620	$30,141,939	$65,956	5.41%	2002
Gatewood Scholars Hall	Naperville, IL	07/23/2022	260	$33,671,522	$73,679	6.38%	1979
Foxglove Student Living	Jacksonville, FL	01/23/2025	663	$28,586,898	$62,553	6.61%	2007
Cobalt Collegiate Commons	Tampa, FL	01/30/2025	249	$65,916,743	$144,238	7.53%	1982
Bluestone Collegiate Commo	Orlando, FL	10/11/2025	387	$67,540,971	$147,792	5.03%	1984
Quarry Student Living	Newark, NJ	03/27/2026	378	$38,721,912	$84,731	6.30%	2016
Maple Student Living	Atlanta, GA	02/13/2023	499	$53,015,386	$116,007	6.99%	1986
Onyx Scholars Hall	Cleveland, OH	01/06/2024	506	$29,363,104	$64,252	6.79%	1991
Summit Student Living	Houston, TX	12/15/2024	406	$70,211,089	$153,635	6.07%	1980
Elmhurst Scholars Hall	Buffalo, NY	12/11/2023	249	$63,181,270	$138,252	6.96%	2013
Kingsley Student Living	Atlanta, GA	06/21/2023	291	$54,808,420	$119,931	6.40%	1990
Banyan Collegiate Commons	Aurora, CO	04/14/2024	282	$64,099,536	$140,262	5.45%	2013
Harbor Collegiate Commons	Chicago, IL	09/16/2024	279	$72,137,673	$157,850	5.16%	1986
Marlow Collegiate Commons	Phoenix, AZ	12/02/2022	395	$69,152,936	$151,319	5.90%	2009
Whitaker Collegiate Common	Grand Rapids, MI	09/30/2025	563	$44,600,941	$97,595	6.78%	1981
Banyan Student Living	Nashville, TN	06/27/2025	617	$71,273,034	$155,958	7.20%	1992
Yarrow Collegiate Commons	Aurora, CO	11/25/2023	476	$76,960,813	$168,404	5.61%	2007
Nautilus Student Living	Indianapolis, IN	09/17/2022	516	$35,292,917	$77,227	8.09%	1976
Summit Student Living	Des Moines, IA	08/31/2024	395	$45,301,348	$99,128	5.87%	1986
Glenview Scholars Hall	Baltimore, MD	04/23/2023	531	$27,888,034	$61,024	5.43%	1992
Lockwood Scholars Hall	Memphis, TN	12/17/2025	425	$74,969,285	$164,047	6.85%	2005
Amberly Student Living	Minneapolis, MN	07/13/2024	247	$53,108,079	$116,210	6.42%	1997
Bayview Collegiate Commons	Cincinnati, OH	08/18/2025	491	$32,749,464	$71,662	7.50%	1972

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Indigo Student Living and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on April 2, 2022.

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Tyrone Ramirez, PE

Pinnacle Realty Appraisers

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